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Risk committee traits and profitability of Nigeria banking sector

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Abstract

Corporate board of directors has responsibility to establish mission and strategy, select, support and evaluate chief executive officers and ensure effective planning among several other functions. Through management, directors ensure that risks are minimized and their organization is successful in achieving its goals. Despite the importance of these functions to the corporate world in particular and the economy in general, there are few empirical studies on risk committee features and profitability in the banking sector in Nigeria. This paper investigates influence of risk committee traits on organization's financial bottom line, which is profitability. The sample is 13 and the years covered are 10 (2010-2019), which made observation to be 130. The research design is correlational in nature, a multiple regression model was developed linking risk committee traits with profitability. Findings suggest that risk committee presence, gender diversity and meetings failed to show significance. However, risk committee size and independence show negative and significant effects. Based on the findings, it is suggested that board, management and regulatory authority should reduce risk committee members and number of non-executive directors in the risk committee.

Keywords: *banking sector, committee, Nigeria, profitability, risk*

1. Introduction

This paper interrogates the influence of risk committee traits on profitability of banks in Nigeria. Profitability is central to every organization's success. A business is successful when profits are made and has failed when the reverse is the case. Though,

profitability is the responsibility of management under the direction of the board, in the final analysis, management is responsible for making profit. In spite the role of profitability in modern society, there are few studies in Nigeria that have linked risk committee with profitability. It is this consideration that influenced this paper to investigate its influence.

Profitability is important to an organization; it is essential because its continued absence can spell failure of the organization. It is sometimes ploughed back to increase or maintain the capital available to the organization. It is a major motivation to drives every business organization. It is true to say that there are countless non-profit organizations whose motivation is non-financial. Examples include work force longevity, customer loyalty or satisfaction, employee satisfaction or welfare, workplace productivity, corporate social responsibility, production volume, development of new products and employee training. Profitability is a measure of efficiency and effectiveness in putting assets into use. It is the degree to which a transaction produces financial gain. It often follows trends or business cycle, suggesting that it may be profitable or not. There are number of factors or determinants that affect profitability, such as production costs, overheads, production unit, and direct cost. In this paper, we concentrate on the impact of risk committee as it affects profitability.

Risk committee is one of the committees established by board to minimize adversaries encountered by organizations. Others are remuneration, nomination and audit committees. It is about governance often also refers to enterprise risk management initiative or framework, designed to assist in designing, developing and operating a top-level risk. Such efforts are designed to look at establishing the committee, evaluating its effectiveness and addressing members of the committee. It is an attempt to mitigate organizational hazards and maximize wealth of shareholders. Risk committee in banking is designed to improve performance, ensure compliance with international standards, champion transparency and responsibility and ensure that the bank establishes a balance between risk and reward. It is necessary to mention that risk committee comprises of board members and differentiate it from

role of the board. Risk committee is wholly made up of non-executive directors, considered to be independent and advise the board governance and overall risk management.

The committee is expected to be involved in regular analysis of the environment of business and advice on how to proactively engage it. Failure of this committee is fatal; for example, in the case of Diamond Bank, Afribank, Intercontinental Bank and Skye Bank. It is involved in setting and reviewing company's policy guidelines on what actions to take when faced with hazardous events. Risk committee plays important role in establishing risk appetite and strategy and regulations. The main activities of the committee include governance, control structure, decision making framework, compliance with standards, recommendations and determine capital needs, and host of other activities.

Risk committee actions and inactions affect organizational profitability in two ways: improves it and or reduces it. However, to improve organizational profitability, the organizational must take actions or activities that reduce hazards, such as taking insurance cover, diversification, watch over loans, understand the law, documentation, enough employees, good reputation, and self-protection. In order to reduce performance as result of risks, organizations may ask wrong questions, negative culture, set vague responsibilities, establish poor reward system, and loss of focus of business objectives.

Using the banking sector is germane for the paper, since banks play important role in financial intermediation. They ensure that there is balance between surplus and deficit sectors and health of the economy providing numerous services. The services include loans, chequing, savings, debit and credit cards, payrolling, and many others. However, their operations are affected by risks and therefore, there is need to have risk committee in place.

Despite the importance of banks on the economy, few empirical studies have interrogated the influence of risk committee characteristics on their profitability. This paper fills this gap by covering data of 2010-2019 and answering the questions as to

whether risk committee presence, size, independence, gender, and diligence affect profitability. The paper is therefore limited to banks and may not be extrapolated to other sectors of the economy. It is, however, useful in terms of policy and performance improvement. For these reasons, the paper presents the following hypotheses:

H_{0a}: Risk committee presence has no significant influence

H_{0b}: Risk committee size does not have significant influence

H_{0c}: Risk committee independence does not have significant influence

H_{0d}: Risk committee gender diversity does not have significant influence

H_{0e}: Risk committee meeting does not affect profitability

The hypotheses are tested in section four under results and discussion and the rest sections are devoted to review of related literatures, methodology, results, discussions, conclusions and recommendations.

2. Literature Review

Agency theory is most appropriate to connect risk committee traits and profitability. Agency Theory addresses the conflict of interests between shareholders and board/management to a level that the organization can strive towards achieving its goals. Risk committee is one of the monitoring committees set up by the board; others are remuneration, nomination and audit committees. The board is able to carry out its functions through these committees. In attempts to make profits, the board/management may embark upon unwholesome activities at the detriment of shareholders. Agency Theory provides the framework under which measures are taken to resolve divergence of interests between shareholders and board/management.

Some literatures have interrogated the connection between risk committee traits and profitability. For example, Zemzem and Kacem (2014) assessed the impact of risk committee on profitability and concluded that there was a negative and significant effect. Also, Kallamu (2015) investigated the role of

risk committee and said that when the committee is made up of largely independent directors, it has positively promoted firm profitability; however, risk committee presence reported a significant and negative influence.

Halim et al. (2017) reported that risk management committee affected firm performance. Degenhart et al. (2017) analyzed the relationship between economic performance and the presence of a risk management committee in Brazilian companies. The quantitative study used the Information Entropy Measure, the TOPSIS Method and the T-Test to analyze the data. The research population comprised the companies listed on the BM&FBOVESPA's IBrX-50 and the sample consisted of 41 companies in the period from 2010 to 2012. The results pointed out that the companies that have a risk management committee in the corporate governance structure evidenced in the period analyzed an average economic performance higher than those that do not have such a committee.

Kakanda et al. (2018) examined the impact of risk committee characteristics (risk committee size, risk committee meeting, and risk committee independence) on profitability of listed financial service firms in Nigeria. Data were obtained from a sample of 45 financial service firms for a period of 2012-2016. Result revealed that risk committee size had a significant and negative impact on profitability, while risk committee independence and risk committee meeting have significant positive effects. Abubakar et al. (2018) estimated based on random effect and reported that risk independence exhibited an enormous negative link. Meanwhile, risk management committee size has a positive insignificant relationship with ROA.

Elamer and Benyazid (2018) investigated and reported negative association with firm performance. Appiah-Kubia (2018) studied the effects of risk management on the profitability of banks. Content analysis was employed to examine the annual reports of listed banks from 2012 to 2016. Fixed and random effects techniques were used to assess the effects of corporate governance and bank-specific characteristics on the extent and quality of risk

management disclosure, and also the effect of risk management disclosure on bank profitability. The study revealed that the amount of risk management information disclosed by listed banks in Ghana is very encouraging, that is, compliance level of 69 and 56 percent respectively for extent and quality of risk disclosure. The regression results suggested that extent of risk management disclosure positively affected the profitability of listed banks.

Abubakar et al. (2018) investigated the effect of risk committee attributes and board financial knowledge on profitability of listed banks in Nigeria. The research used secondary data obtained from the annual reports of 14 banks listed in the Nigerian Stock Exchange for the year 2014-2016, using 42 observations based on panel data approach. Result indicated that risk committee independence exhibited a significant negative relationship with ROA; while risk committee size had a positive insignificant relationship with ROA. Ibrahim et al. (2020) evaluated and concluded that expertise showed negative significant influence. However, size and independence were insignificant. Bujang et al. (2020) examined the incidence and reported improvement.

3. Methodology

Research design is correlational meaning that the paper is about cause and effect examination between risk committee features and profitability. The models of the paper are as follows:

$$\begin{aligned} \text{prof}_{i,t} &= \beta_0 + \beta_1 \text{rcp}_{i,t} + \beta_2 \text{rcs}_{i,t} + \beta_3 \text{rci}_{i,t} + \beta_4 \text{rcgd}_{i,t} + \beta_5 \text{rcm}_{i,t} + \varepsilon_{i,t} \\ \text{prof} &= \text{roa} + \text{tobinQ} \\ \text{roa}_{i,t} &= \beta_0 + \beta_1 \text{rcp}_{i,t} + \beta_2 \text{rcs}_{i,t} + \beta_3 \text{rci}_{i,t} + \beta_4 \text{rcgd}_{i,t} + \beta_5 \text{rcm}_{i,t} + \varepsilon_{i,t} \\ \text{tobinQ}_{i,t} &= \beta_0 + \beta_1 \text{rcp}_{i,t} + \beta_2 \text{rcs}_{i,t} + \beta_3 \text{rci}_{i,t} + \beta_4 \text{rcgd}_{i,t} + \beta_5 \text{rcm}_{i,t} + \varepsilon_{i,t} \end{aligned}$$

Whereas:

prof = Profitability, calculated as roa and tobinQ

roa = Return on total assets, is profit before interest and tax/total assets (Yahaya, 2017; Yahaya & Lamidi, 2015).

tobinQ = Tobin Q, estimated as market value divided by book value of assets (Gharaibeh & Qader, 2017).

rcp = Risk committee presence, measured by 1 if there is risk committee or otherwise 0.

rsc = Risk committee size, measured in numbers is the total directors and non-directors in the risk committee.

rci = Risk committee independence, measured in percentage is computed as the non-executive directors and shareholders representatives in the risk committee to total risk committee members size.

rcgd = Risk committee gender diversity, measured as a percentage is computed as Female risk committee members/total.

rcm = Risk committee meeting (diligence), measured meetings held members in a year.

β_0 = Beta (Constant)

β_{1-5} = Beta (Coefficients)

i = Companies

t = Time measured in years

ε = Error term

The population and sample are the same (13) often referred to as consensus population sampling technique. Data used are secondary and obtained from MachameRatios. They were explained with STATA 13. Diagnostic checks were carried out including normal distribution, multicollinearity, heteroskedasticity, panel effect tests before the multiple regression. The results of the tests were accepted or rejected at .05 per cent. The findings are reported in section four.

4. Findings

The section presents the discoveries by the paper, which are later compared and contrasted with existing and known empirical findings.

Table 1

Descriptive Statistics

Variables	Obser	Mean	Std. Dev.	Min	Max
rcp	130	.985	.124	0	1
rsc	130	6.946	2.314	0	14
rci	130	64.502	18.615	0	100

rcgd	130	15.712	15.913	0	66.667
rcm	130	4.123	1.604	0	9
roa	130	.015	.0236	-.095	.095
tobinQ	130	.871	.238	.632	2.551

STATA 13 Outputs

From Table 1, the number of observations is 130, which are made up of 13 companies multiplied 10 years covered. The average for rcp is approximately 1, with a standard deviation of .124 and minimum and maximum mean of 0 and 1, respectively. Similarly, the average for rcs is 7 people with a standard deviation of 2 and minimum and maximum mean of 0 and 14. Average for rci is 64.5% (18.6%) and mini and maximum mean of 0 and 100 per cent. The number of females in the risk committee represented by rcgd is averagely 15.7 per cent, with standard deviation of approximately 15.9 per cent and minimum and maximum mean of 0 and 67 per cent. This is, however, not surprising since women are known to firm, strict and risk-averse. Furthermore, rcm has average of 4 times with standard deviation of approximately 2 times and between 0 and 9 meetings. The roa model indicates a balanced data set since the number of observation is the same with all the explanatory variables. The findings contained in Table 1 shows that it has an average of 1.5 per cent with standard deviation of 2.36 per cent and maximum of 9.5 per cent. However, tobinQ shows an average of .871 (less than 1) which is an indication of poor performance with standard deviation of .238, with a minimum and maximum values of .632 and 2.551, respectively. However, from theory, the maximum mean indicates that the banks did well whenever tobinQ is 1 or higher.

Table 2

Normal distribution

Variables	Observ	QH	QH*	P-value
rcp	130	3.26000	-2.6e+01	> 0.2
rcs	130	1.01720	-0.19609	> 0.2
rci	130	0.96685	0.37795	< 0.0001
rcgd	130	0.91115	1.01301	< 0.0001

rcm	130	0.95709	0.48928	< 0.0001
roa	130	0.93087	0.78816	< 0.0001
tobinQ	130	0.76406	2.69017	< 0.0001

STATA 13 Outputs

As indicated by the findings in Table 2, only rcp and rcs are normally distributed because their p-values are outside significant level of 5 per cent. However, rci, rcgd and rcm failed the test, due to their significant figures of less than .05. Thus, their residual is significant and therefore failed the test of normality. This situation is taken care off by the method of heteroskedasticity examination (imtest) instead of the ordinary hettest and use of robust multiple regression analysis instead of the ordinary method.

Table 3

Correlation matrix

	rcp	rsc	rci	rcgd	rcm
rcp	1.000				
rsc	0.3767*	1.000			
	0.000				
rci	0.4348*	-0.2962*	1.000		
	0.000	0.0006			
rcgd	0.1239	0.1077	0.0142	1.000	
	0.1602	0.2225	0.8723		
rcm	0.3225*	-0.0692	0.4409*	0.1322	1.000
	0.0002	0.4340	0.000	0.1337	

STATA 13 Outputs

The findings in Table 3 confirm the absence of multicollinearity in the 2 models: roa and tobinQ. Among the independent variables, none of the coefficients is up to or greater than .80, which would have been the threshold to call for worry. In order to confirm the findings reported in Table 3, Table 4 findings indicated that the figures for variance inflation factor and tolerance level are within acceptable limits.

Table 4

Variance Inflation Factor & Tolerance Level

Variables	VIF	1/VIF
rci	1.93	0.517
rcp	1.93	0.517
rcs	1.68	0.595
rcm	1.30	0.772
rcgd	1.04	0.965
Mean VIF	1.58	

STATA 13 Outputs

From the findings in Table 4, rci and rcp have the same figure of 1.93 as their VIF and .517 as tolerance level. rcs, however, has 1.68 (.595); rcm has 1.30 (.772); rcgd has 1.04 (.965) and the average VIF is 1.58 which is less than 3.33 as the threshold above which means source of worry.

Table 5

Information Matrix-Check: roa and tobinQ

Source	roa			tobinQ		
	Chi-sq	diff	pr	Chi-sq	diff	pr
Hetest	35.97	15	0.002	5.65	15	0.985
Skewness	3.83	5	0.574	4.31	5	0.506
Kurtosis	3.43	1	0.064	2.01	1	0.156
Total	43.23	21	0.003	11.97	21	0.940

STATA 13 Outputs

Given the findings contained in Table 5, roa model suffers from heteroskedasticity since its p-value is significant at 5 per cent. However, it shows that tobinQ model is not significant, suggesting it has no heteroskedasticity problem. The roa model calls for robust multiple regression analysis.

Table 6

Panel check: rem

	roa	tobinQ
Chibar-sq (01)	17.04	12.71

Prob > chibar ²	0.000	0.000
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STATA 13 Outputs

As indicated by the findings contained in Table 6, both models have panel effects in them since their probability values are less than 5%. For example, *roa* has .000 and *tobinQ* has .000.

Table 7

Hausman specification check

	roa	tobinQ
chi ² (5)	7.56	12.47
Prob > chi ²	0.183	0.029

STATA 13 Outputs

Given the findings contained in Table 7, *roa* model is not significant, meaning that the appropriate model for it is random effects. However, for *tobinQ*, the p-value is less than 5 per cent, which means that it is significant. Thus, fixed effects model is most appropriate for it.

Table 8

Regression analysis

Models	roa		tobinQ	
Variables	Coef.	P>z	Coef.	P>z
rcp	.041	0.056	.057	0.831
rsc	-.003	0.011	-.000	0.993
rci	-.000	0.030	-.002	0.336
rcgd	-.000	0.854	-.002	0.433
rcm	.001	0.457	.016	0.308
_cons	.017	0.000	.887	0.000
rho	.279		.333	
Wald chi ² (5)	40.88		0.55	
Prob > chi ²	0.000		0.743	
R-square (R ²)	0.031		0.000	

STATA 13 Outputs

The results confirmed that *roa* is more appropriate than *tobinQ* due to their probability of chi-square which is significant for *roa* and insignificant for *tobinQ*. Henceforth, only *roa* is used to test the

hypotheses. Thus, *rcp* failed to show significant impact on profitability. However, it shows positive influence. On the other hand, *rsc* shows negative and significant influence (*coef* = -3 percent, $p > z = .011$). Similarly, *rci* shows negative and significant influence (*coef* = -.000 percent, $p > z = .030$). In a different vein, *rcgd* shows negative and insignificant influence (*coef* = -.000 percent, $p > z = .854$). But, *rcm* shows positive and insignificant influence (*coef* = .001 percent, $p > z = .457$). Prob > χ^2 shows that the *roa* is a better and fit to explain the assignment. The R-square is 3.1 per cent, which according to Cohen (1988) falls under small size. Therefore, there is small effect on profitability based on the data set available. Thus, based on these findings, hypotheses 1, 4 and 5 are accepted and hypotheses 2 and 3 are rejected at 5 percent.

5. Conclusions and Recommendations

The aim was to interrogate impact of risk committee qualities on profitability. While it is no gainsaying that the paper was limited to banks, the findings may not be extended to other sectors such as healthcare, conglomerates, industrial goods, consumer goods, insurance, services, and agriculture.

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